Standard Chartered Bank Kenya Limited

The Board of Directors of Standard Chartered Bank Kenya Limited is pleased to announce the un-audited results of the Bank and the Group for the six month period ended 30 June 2020

Standard Chartered

STATEMENT OF FINANCIAL POSITION

	BANK				GROUP			
	30.06.2020 KShs. 000 Un-audited	31.03.2020 KShs. 000 Un-audited	31.12.2019 KShs. 000 Audited	30.06.2019 KShs. 000 Un-audited	30.06.2020 KShs. 000 Un-audited	31.03.2020 KShs. 000 Un-audited	31.12.2019 KShs. 000 Audited	30.06.2019 KShs. 000 Un-audited
ASSETS								
Cash (both local and foreign)	3,556,797	3,067,013	3,288,211	2,763,647	3,556,797	3,067,013	3,288,211	2,763,647
Balances due from Central Bank of Kenya	24,915,890	26,084,004	17,333,002	14,114,437	24,915,890	26,084,004	17,333,002	14,114,437
Kenya Government securities and other securities held for dealing purposes	3,549,885	5,700,682	1,938,728	4,556,128	3,549,885	5,700,682	1,938,728	4,556,128
Financial assets at fair value through profit and loss	789,511	1,136,077	809,581	452,755	789,511	1,136,077	809,581	452,755
Investment securities:								
a) Amortised cost:								
i. Kenya Government securities	-	-	-	-	-	-	-	-
ii. Other securities	-	-	-	-	-	-	-	-
b) Fair Value through other comprehensive income (FVOCI):								
i. Kenya Government securities	101,176,614	89,265,796	96,545,418	96,957,395	101,176,614	89,265,796	97,671,849	98,008,575
ii. Other securities	-	-	18,354	18,800	-	-	18,354	18,800
Deposits and balances due from local banking institutions	4,063,784	5,426,208	7,580,585	5,682,108	4,063,784	5,426,208	7,580,585	5,682,108
Deposits and balances due from banking institutions abroad	413,958	372,310	153,871	141,646	413,958	372,310	153,871	141,646
Tax recoverable	295,781	521,253	1,025,900	630,096	391,291	542,086	1,091,528	657,277
Loans and advances to customers (net)	134,317,139	125,536,619	128,690,341	120,064,909	134,317,139	125,536,619	128,690,341	120,064,909
Balances due from banking institutions in the group	42,633,765	42,588,217	33,118,334	38,056,527	42,584,188	42,563,715	31,799,225	38,056,527
Investments in associates	-	-	-	-	-	-	-	-
Investments in subsidiary companies	141,243	141,243	141,243	141,243	-	-	-	-
Investments in joint ventures	-	-	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-	-	-
Property and equipment	3,715,016	3,771,025	3,893,947	3,699,871	3,715,016	3,771,025	3,893,947	3,699,871
Prepaid lease rentals	-	-	-	236,167	-	-	-	236,167
Intangible assets	3,208,924	3,149,574	2,731,693	2,470,596	3,208,924	3,149,574	2,731,693	2,470,596
Deferred tax asset	1,431,488	1,192,521	1,537,998	1,036,854	1,499,273	1,279,662	1,641,887	1,100,711
Retirement benefit asset	-	-	-	-	-	-	-	-
Other assets	3,004,331	3,479,471	3,488,697	2,449,274	3,016,241	3,582,654	3,496,254	2,518,816
TOTAL ASSETS	**327,214,126**	**311,432,013**	**302,295,903**	**293,472,453**	**327,198,511**	**311,477,425**	**302,139,056**	**294,542,970**
LIABILITIES								
Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
Customer deposits	256,496,288	243,550,712	228,433,515	228,499,892	256,496,288	243,550,712	228,433,515	228,499,892
Deposits and balances due to local banking institutions	1,841,392	209,368	7,817,724	2,552,239	1,841,392	209,368	7,817,724	2,552,239
Deposits and balances due to foreign banking institutions	452,415	474,818	209,980	292,304	452,415	474,818	209,980	292,304
Other money market deposits	-	-	-	-	-	-	-	-
Borrowed funds	-	-	-	-	-	-	-	-
Balances due to banking institutions in the group	12,056,644	11,857,831	11,837,084	10,017,850	11,147,383	11,089,621	11,122,125	9,396,304
Tax payable	-	-	-	-	-	31,107	-	-
Dividends payable	403,225	404,429	412,358	589,520	403,225	404,429	412,358	589,520
Deferred tax liability	-	-	-	-	-	-	-	-
Retirement benefit liability	132,432	274,162	267,394	230,207	132,432	274,162	267,394	230,207
Other liabilities	4,985,178	5,591,805	6,096,338	6,096,076	5,004,765	5,611,177	6,115,433	6,108,799
TOTAL LIABILITIES	**276,367,574**	**262,363,125**	**255,074,393**	**248,278,088**	**275,477,900**	**261,645,394**	**254,378,529**	**247,669,265**
SHAREHOLDERS' FUNDS								
Paid up / Assigned capital	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553	1,997,553
Share premium/(Discount)	7,792,427	7,792,427	7,792,427	7,792,427	7,792,427	7,792,427	7,792,427	7,792,427
Revaluation reserves	727,226	729,801	732,195	736,983	727,226	729,801	732,195	736,983
Retained earnings/(Accumulated Losses)	32,805,717	28,736,546	27,129,743	28,449,892	33,679,776	29,499,689	27,690,235	30,127,641
Statutory loan loss reserve	1,302,223	1,681,216	1,477,402	759,286	1,302,223	1,681,216	1,477,402	759,286
Other reserves (Fair Value)	1,657,914	1,009,793	924,070	1,763,683	1,657,914	1,009,793	902,595	1,765,274
Proposed dividends	2,661,020	5,237,349	5,237,349	1,800,862	2,661,020	5,237,349	5,237,349	1,800,862
Capital grants	1,902,472	1,884,203	1,930,771	1,893,679	1,902,472	1,884,203	1,930,771	1,893,679
TOTAL SHAREHOLDERS' EQUITY	**50,846,552**	**49,068,888**	**47,221,510**	**45,194,365**	**51,720,611**	**49,832,031**	**47,760,527**	**46,873,705**
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	**327,214,126**	**311,432,013**	**302,295,903**	**293,472,453**	**327,198,511**	**311,477,425**	**302,139,056**	**294,542,970**

STATEMENT OF COMPREHENSIVE INCOME

INTEREST INCOME								
Loans and advances	6,289,825	3,183,421	13,406,673	6,737,713	6,289,825	3,183,421	13,406,673	6,737,713
Government securities	4,743,995	2,508,367	10,484,602	5,391,914	4,756,869	2,521,241	10,596,127	5,445,787
Deposits and placements with banking institutions	685,217	336,081	1,078,961	472,676	685,217	336,081	1,078,961	472,676
Other interest income	200,331	73,762	190,691	76,156	200,331	73,762	190,691	76,156
Total interest income	**11,919,368**	**6,101,631**	**25,160,927**	**12,678,459**	**11,932,242**	**6,114,505**	**25,272,452**	**12,732,332**
INTEREST EXPENSES								
Customer deposits	2,328,487	1,203,930	5,174,332	2,612,996	2,319,326	1,199,348	5,155,004	2,602,577
Deposits and placements from banking institutions	39,279	28,938	61,015	7,654	39,279	28,938	61,015	7,654
Other interest expenses	179,688	163,065	583,940	276,074	179,688	163,065	583,940	276,074
Total interest expenses	**2,547,454**	**1,395,933**	**5,819,287**	**2,896,724**	**2,538,293**	**1,391,351**	**5,799,959**	**2,886,305**
NET INTEREST INCOME/(LOSS)	**9,371,914**	**4,705,698**	**19,341,640**	**9,781,735**	**9,393,949**	**4,723,154**	**19,472,493**	**9,846,027**
NON-INTEREST INCOME								
Fees and commissions on loans and advances	152,518	73,474	256,718	160,858	152,518	73,474	256,718	160,858
Other fees and commissions	1,528,319	806,437	3,882,408	1,866,920	2,101,994	1,167,862	4,892,262	2,410,907
Foreign exchange trading income/(Loss)	1,478,829	695,237	3,174,026	1,595,430	1,478,829	695,237	3,174,026	1,595,430
Dividend income	-	-	1,294,374	-	-	-	-	-
Other income	700,007	329,821	904,414	546,086	669,226	299,040	904,414	545,993
Total Non-Interest income	**3,859,673**	**1,904,969**	**9,511,940**	**4,169,294**	**4,402,567**	**2,235,613**	**9,227,420**	**4,713,188**
TOTAL OPERATING INCOME	**13,231,587**	**6,610,667**	**28,853,580**	**13,951,029**	**13,796,516**	**6,958,767**	**28,699,913**	**14,559,215**
OTHER OPERATING EXPENSES								
Loan loss provision	1,624,970	428,006	572,592	378,942	1,624,970	428,006	572,592	378,942
Staff costs	3,295,412	1,713,044	7,021,758	3,472,356	3,341,779	1,738,454	7,136,019	3,529,804
Directors' emoluments	79,584	37,329	274,722	127,518	79,584	37,329	274,722	127,518
Rental charges	110,722	48,971	307,869	154,716	110,722	48,971	308,217	154,806
Depreciation charge on property and equipment	346,907	161,177	636,674	318,659	346,907	161,177	636,674	318,659
Amortisation charges	361,371	169,955	651,889	291,179	361,371	169,955	651,889	291,179
Other operating expenses	2,763,294	1,428,986	6,696,850	2,820,463	2,825,870	1,461,245	6,945,943	2,838,036
Total other operating expenses	**8,582,260**	**3,987,468**	**16,162,354**	**7,563,833**	**8,691,203**	**4,045,137**	**16,526,056**	**7,638,944**
Profit / (loss) before tax and exceptional items	**4,649,327**	**2,623,199**	**12,691,226**	**6,387,196**	**5,105,313**	**2,913,630**	**12,173,857**	**6,920,271**
Exceptional items	-	-	-	-	-	-	-	-
Profit / (loss) after exceptional items	**4,649,327**	**2,623,199**	**12,691,226**	**6,387,196**	**5,105,313**	**2,913,630**	**12,173,857**	**6,920,271**
Current tax	(1,779,928)	(506,238)	(3,981,481)	(2,191,812)	(1,895,447)	(586,474)	(4,254,462)	(2,367,833)
Deferred tax	50,098	(308,738)	279,815	146,048	23,198	(316,283)	317,378	153,464
Profit / (loss) after tax and exceptional items	**2,919,497**	**1,808,223**	**8,989,560**	**4,341,432**	**3,233,064**	**2,010,873**	**8,236,773**	**4,705,902**
OTHER COMPREHENSIVE INCOME								
Gains/(losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
Fair value changes in financial assets at FVOCI	890,453	122,462	(584,011)	640,579	921,131	153,140	(600,162)	657,380
Revaluation surplus on property, plant and equipment	-	-	-	-	-	-	-	-
Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
Income tax relating to components of other comprehensive income	(222,613)	(36,739)	175,203	(192,174)	(230,282)	(45,942)	180,049	(197,214)
Other comprehensive income for the period/year net of tax	**667,840**	**85,723**	**(408,808)**	**448,405**	**690,849**	**107,198**	**(420,113)**	**460,166**
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD/YEAR	**3,587,337**	**1,893,946**	**8,580,752**	**4,789,837**	**3,923,913**	**2,118,071**	**7,816,660**	**5,166,068**
EARNINGS PER SHARE - BASIC AND DILUTED (KShs)	**8.26**	**5.14**	**25.68**	**12.40**	**9.17**	**5.73**	**23.49**	**13.46**
DIVIDEND PER SHARE - DECLARED (KShs)	-	-	**12.50**	**5.00**	-	-	**12.50**	**5.00**

OTHER DISCLOSURES

	BANK			
	30.06.2020 KShs. 000 Un-audited	31.03.2020 KShs. 000 Un-audited	31.12.2019 KShs. 000 Audited	30.06.2019 KShs. 000 Un-audited
1) NON-PERFORMING LOANS AND ADVANCES				
(a) Gross non-performing loans and advances	20,902,985	20,022,480	20,057,683	19,788,405
(b) Less: Interest in suspense	8,287,008	7,830,322	7,788,053	7,146,100
(c) Total non-performing loans and advances (a-b)	**12,615,977**	**12,192,158**	**12,269,630**	**12,642,305**
(d) Less: Loan loss provisions	8,064,247	7,797,795	8,004,255	7,864,209
(e) Net non-performing loans and advances (c-d)	**4,551,730**	**4,394,363**	**4,265,375**	**4,778,096**
(f) Realizable value of securities	3,319,354	3,220,026	3,218,283	3,387,741
(g) Net NPLs Exposure (e-f)	**1,232,376**	**1,174,337**	**1,047,092**	**1,390,355**
2) INSIDER LOANS AND ADVANCES				
(a) Directors, shareholders and associates	91,250	42,706	47,149	51,447
(b) Employees	6,503,774	6,581,931	7,066,418	6,518,468
(c) Total insider loans, advances and other facilities	**6 ,595,024**	**6,624,637**	**7,113,567**	**6,569,915**
3) OFF-BALANCE SHEET ITEMS				
(a) Letters of credit, guarantees and acceptances	58,767,950	52,647,111	52,218,765	51,876,610
(b) Forwards, swaps and options	57,432,884	130,490,897	78,653,950	77,652,518
(c) Other contingent liabilities		-	-	-
(d) Total contingent liabilities	**116,200,834**	**183,138,008**	**130,872,715**	**129,529,128**
4) CAPITAL STRENGTH				
(a) Core capital	40,128,004	36,801,741	35,701,874	36,137,129
(b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess / (deficiency) (a-b)	39,128,004	35,801,741	34,701,874	35,137,129
d) Supplementary capital	6,832,330	7,446,116	7,336,051	6,882,732
(e) Total capital (a+d)	**46,960,334**	**44,247,857**	**43,037,925**	**43,019,861**
(f) Total risk weighted assets	254,848,969	245,559,880	242,802,511	231,854,209
(g) Core capital / total deposit liabilities	15.64%	15.11%	15.63%	15.81%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%
(i) Excess /(deficiency) (g-h)	7.64%	7.11%	7.63%	7.81%
(j) Core capital / total risk weighted assets	15.75%	14.99%	14.70%	15.59%
(k) Minimum statutory ratio	10.50%	10.50%	10.50%	10.50%
(l) Excess / (deficiency) (j-k)	5.25%	4.49%	4.20%	5.09%
(m)Total capital/total risk weighted assets	18.43%	18.02%	17.73%	18.55%
(n) Minimum statutory ratio	14.50%	14.50%	14.50%	14.50%
(o) Excess / (deficiency) (m-n)	3.93%	3.52%	3.23%	4.05%
(p) Adjusted core capital/ total deposit liabilities*	15.69%	15.15%	15.68%	15.88%
(q) Adjusted core capital/ total risk weighted assets*	15.79%	15.03%	14.75%	15.65%
(n) Adjusted total capital/ total risk weighted liabilities*	18.47%	18.06%	17.77%	18.62%
5) LIQUIDITY				
(a) Liquidity ratio	66.77%	67.58%	62.57%	67.23%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%
(c) Excess / (deficiency) (a-b)	46.77%	47.58%	42.57%	47.23%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the Central Bank of Kenya guidance note issued in April 2018 on implementation of IFRS 9.

CONSOLIDATED SUMMARISED STATEMENT OF CHANGES IN EQUITY

	Share capital KShs. 000	Share premium KShs. 000	Other reserves KShs. 000	Retained earnings KShs. 000	Proposed dividends KShs. 000	Total KShs. 000
At 31 December 2019	1,997,553	7,792,427	5,042,963	27,690,235	5,237,349	47,760,527
Adjustment for tax rate change on deferred tax opening balances	-	-	64,470	-	-	64,470
At 1 January 2020	**1,997,553**	**7,792,427**	**5,107,433**	**27,690,235**	**5,237,349**	**47,824,997**
Net profit for the period	-	-	-	3,233,064	-	3,233,064
Other comprehensive income	-	-	510,701	180,148	-	690,849
Total comprehensive income for the period	**-**	**-**	**510,701**	**3,413,212**	**-**	**3,923,913**
Total contributions by and distributions to owners	**-**	**-**	**(28,299)**	**2,576,329**	**(2,576,329)**	**(28,299)**
At 30 June 2020	**1,997,553**	**7,792,427**	**5,589,835**	**33,679,776**	**2,661,020**	**51,720,611**

CONSOLIDATED SUMMARISED STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED	30.06.2020 KShs. 000 Un-audited	31.12.2019 KShs. 000 Audited	30.06.2019 KShs. 000 Un-audited
Net cash from/(used in) operating activities	**11,613,459**	**(4,824,652)**	**7,437,146**
Net cash used in investing activities	(1,025,222)	(1,950,317)	(1,116,190)
Net cash used in financing activities	(144,007)	(6,860,379)	(4,452,764)
Increase / (decrease) in cash and cash equivalents	**10,444,230**	**(13,635,348)**	**1,868,192**
Cash and cash equivalents at 1 January	24,567,244	38,202,592	38,202,592
Cash and cash equivalents	**35,011,474**	**24,567,244**	**40,070,784**

These financial statements are extracts from the books of the institution and can be accessed on the institution's website ***www.sc.com/ke/investor-relations.***

Mr. Patrick Obath
Board Chairman

Mr. Kariuki Ngari
Managing Director & Chief Executive Officer

24 August 2020

Standard Chartered Bank Kenya Limited is regulated by Central Bank of Kenya.

NAME OF INSTITUTION: STANDARD CHARTERED BANK KENYA LIMITED

CONSOLIDATED FINANCIAL STATEMENTS AND DISCLOSURES

I BALANCE SHEET **A. ASSETS**	**30.06.2019** **KShs. '000** **Un-audited**	**31.12.2019** **KShs. '000** **Audited**	**31.03.2020** **KShs. '000** **Un-audited**	**30.06.2020** **KShs. '000** **Un-audited**
1. Cash (both local and foreign)	2,763,647	3,288,211	3,067,013	3,556,797
2. Balances due from Central Bank of Kenya	14,114,437	17,333,002	26,084,004	24,915,890
3. Kenya Government and other securities held for dealing purposes	4,556,128	1,938,728	5,700,682	3,549,885
4. Financial Assets at fair value through profit and loss	452,755	809,581	1,136,077	789,511
5. Investment Securities:				
a) Amortised cost:				
i. Kenya Government securities	-	-	-	-
ii. Other securities	-	-	-	-
b) Fair Value through other comprehensive income (FVOCI)				
i. Kenya Government securities	98,008,575	97,671,849	89,265,796	101,176,614
ii. Other securities	18,800	18,354	-	-
6. Deposits and balances due from local banking institutions	5,682,108	7,580,585	5,426,208	4,063,784
7. Deposits and balances due from banking institutions abroad	141,646	153,871	372,310	413,958
8. Tax recoverable	657,277	1,091,528	542,086	391,291
9. Loans and advances to customers (net)	120,064,909	128,690,341	125,536,619	134,317,139
10. Balances due from banking institutions in the group	38,056,527	31,799,225	42,563,715	42,584,188
11. Investments in associates	-	-	-	-
12. Investments in subsidiary companies	-	-	-	-
13. Investments in joint ventures	-	-	-	-
14. Investment properties	-	-	-	-
15. Property and equipment	3,699,871	3,893,947	3,771,025	3,715,016
16. Prepaid lease rentals	236,167	-	-	-
17. Intangible assets	2,470,596	2,731,693	3,149,574	3,208,924
18. Deferred tax asset	1,100,711	1,641,887	1,279,662	1,499,273
19. Retirement benefit asset	-	-	-	-
20. Other assets	2,518,816	3,496,254	3,582,654	3,016,241
21.TOTAL ASSETS	**294,542,970**	**302,139,056**	**311,477,425**	**327,198,511**
B. LIABILITIES				
22. Balances due to Central Bank of Kenya	-	-	-	-
23. Customer deposits	228,499,892	228,433,515	243,550,712	256,496,288
24. Deposits and balances due to local banking institutions	2,552,239	7,817,724	209,368	1,841,392
25. Deposits and balances due to foreign banking institutions	292,304	209,980	474,818	452,415
26. Other money market deposits	-	-	-	-
27. Borrowed funds	-	-	-	-
28. Balances due to banking institutions in the group	9,396,304	11,122,125	11,089,621	11,147,383
29. Tax payable	-	-	31,107	-
30. Dividends payable	589,520	412,358	404,429	403,225
31. Deferred tax liability	-	-	-	-
32. Retirement benefit liability	230,207	267,394	274,162	132,432
33. Other liabilities	6,108,799	6,115,433	5,611,177	5,004,765
34. TOTAL LIABILITIES	**247,669,265**	**254,378,529**	**261,645,394**	**275,477,900**
C. SHAREHOLDERS' FUNDS				
35. Paid up/Assigned Capital	1,997,553	1,997,553	1,997,553	1,997,553
36. Share premium/ (Discount)	7,792,427	7,792,427	7,792,427	7,792,427
37. Revaluation reserves	736,983	732,195	729,801	727,226
38. Retained earnings/ (Accumulated losses)	30,127,641	27,690,235	29,499,689	33,679,776
39. Statutory loan loss reserves	759,286	1,477,402	1,681,216	1,302,223
40. Other Reserves (Fair value)	1,765,274	902,595	1,009,793	1,657,914
41. Proposed dividends	1,800,862	5,237,349	5,237,349	2,661,020
42.Capital grants	1,893,679	1,930,771	1,884,203	1,902,472
43. TOTAL SHAREHOLDERS' EQUITY	**46,873,705**	**47,760,527**	**49,832,031**	**51,720,611**
44 Minority Interest	-	-	-	-
45. TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	**294,542,970**	**302,139,056**	**311,477,425**	**327,198,511**

NAME OF INSTITUTION: STANDARD CHARTERED BANK KENYA LIMITED

COMPANY FINANCIAL STATEMENTS AND DISCLOSURES

I BALANCE SHEET **A. ASSETS**	**30.06.19** **KShs. '000** **Un-audited**	**31.12.2019** **KShs. '000** **Audited**	**31.03.2020** **KShs. '000** **Un-audited**	**30.06.2020** **KShs. '000** **Un-audited**
1. Cash (both local and foreign)	2,763,647	3,288,211	3,067,013	3,556,797
2. Balances due from Central Bank of Kenya	14,114,437	17,333,002	26,084,004	24,915,890
3. Kenya Government and other securities held for dealing purposes	4,556,128	1,938,728	5,700,682	3,549,885
4. Financial Assets at fair value through profit and loss	452,755	809,581	1,136,077	789,511
5. Investment Securities:				
a) Amortised cost:				
i. Kenya Government securities	-	-	-	-
ii. Other securities	-	-	-	-
b) Fair Value through other comprehensive income (FVOCI)				
i. Kenya Government securities	96,957,395	96,545,418	89,265,796	101,176,614
ii. Other securities	18,800	18,354	-	-
6. Deposits and balances due from local banking institutions	5,682,108	7,580,585	5,426,208	4,063,784
7. Deposits and balances due from banking institutions abroad	141,646	153,871	372,310	413,958
8. Tax recoverable	630,096	1,025,900	521,253	295,781
9. Loans and advances to customers (net)	120,064,909	128,690,341	125,536,619	134,317,139
10. Balances due from banking institutions in the group	38,056,527	33,118,334	42,588,217	42,633,765
11. Investments in associates	-	-	-	-
12. Investments in subsidiary companies	141,243	141,243	141,243	141,243
13. Investments in joint ventures	-	-	-	-
14. Investment properties	-	-	-	-
15. Property and equipment	3,699,871	3,893,947	3,771,025	3,715,016
16. Prepaid lease rentals	236,167	-	-	-
17. Intangible assets	2,470,596	2,731,693	3,149,574	3,208,924
18. Deferred tax asset	1,036,854	1,537,998	1,192,521	1,431,488
19. Retirement benefit asset	-	-	-	-
20. Other assets	2,449,274	3,488,697	3,479,471	3,004,331
21.TOTAL ASSETS	**293,472,453**	**302,295,903**	**311,432,013**	**327,214,126**
B. LIABILITIES				
22. Balances due to Central Bank of Kenya		-	-	-
23. Customer deposits	228,499,892	228,433,515	243,550,712	256,496,288
24. Deposits and balances due to local banking institutions	2,552,239	7,817,724	209,368	1,841,392
25. Deposits and balances due to foreign banking institutions	292,304	209,980	474,818	452,415
26. Other money market deposits	-	-	-	-
27. Borrowed funds	-	-	-	-
28. Balances due to banking institutions in the group	10,017,850	11,837,084	11,857,831	12,056,644
29. Tax payable	-	-	-	-
30. Dividends payable	589,520	412,358	404,429	403,225
31. Deferred tax liability	-	-	-	-
32. Retirement benefit liability	230,207	267,394	274,162	132,432
33. Other liabilities	6,096,076	6,096,338	5,591,805	4,985,178
34. TOTAL LIABILITIES	**248,278,088**	**255,074,393**	**262,363,125**	**276,367,574**
C. SHAREHOLDERS' FUNDS				
35. Paid up/Assigned Capital	1,997,553	1,997,553	1,997,553	1,997,553
36. Share premium/ (Discount)	7,792,427	7,792,427	7,792,427	7,792,427
37. Revaluation reserves	736,983	732,195	729,801	727,226
38. Retained earnings/ (Accumulated losses)	28,449,892	27,129,743	28,736,546	32,805,717
39. Statutory loan loss reserves	759,286	1,477,402	1,681,216	1,302,223
40. Other Reserves (Fair value)	1,763,683	924,070	1,009,793	1,657,914
41. Proposed dividends	1,800,862	5,237,349	5,237,349	2,661,020
42.Capital grants	1,893,679	1,930,771	1,884,203	1,902,472
43. TOTAL SHAREHOLDERS' EQUITY	**45,194,365**	**47,221,510**	**49,068,888**	**50,846,552**
44 Minority Interest	-	-	-	-
45. TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	**293,472,453**	**302,295,903**	**311,432,013**	**327,214,126**

STANDARD CHARTERED BANK KENYA LIMITED
CONSOLIDATED PROFIT AND LOSS STATEMENT
FINANCIAL STATEMENTS AND OTHER DISCLOSURES

	II PROFIT AND LOSS ACCOUNT	30.06.2019 KShs. '000 Un-audited	31.12.2019 KShs. '000 Audited	31.03.2020 KShs. '000 Un-audited	30.06.2020 KShs. '000 Un-audited
1	**INTEREST INCOME**				
	1.1 Loans and advances	6,737,713	13,406,673	3,183,421	6,289,825
	1.2 Government securities	5,445,787	10,596,127	2,521,241	4,756,869
	1.3 Deposits and placements with banking institutions	472,676	1,078,961	336,081	685,217
	1.4 Other Interest Income	76,156	190,691	73,762	200,331
	1.5 Total Interest Income	**12,732,332**	**25,272,452**	**6,114,505**	**11,932,242**
2	**INTEREST EXPENSES**				
	2.1 Customer deposits	2,602,577	5,155,004	1,199,348	2,319,326
	2.2 Deposits and placements from banking institutions	7,654	61,015	28,938	39,279
	2.3 Other Interest Expenses	276,074	583,940	163,065	179,688
	2.4 Total Interest Expenses	**2,886,305**	**5,799,959**	**1,391,351**	**2,538,293**
3	**NET INTEREST INCOME/(LOSS)**	**9,846,027**	**19,472,493**	**4,723,154**	**9,393,949**
4	**NON-INTEREST INCOME**				
	4.1 Fees and commissions on loans and advances	160,858	256,718	73,474	152,518
	4.2 Other fees and commissions	2,410,907	4,892,262	1,167,862	2,101,994
	4.3 Foreign Exchange trading income/ (loss)	1,595,430	3,174,026	695,237	1,478,829
	4.4 Dividend Income	-	-	-	-
	4.5 Other income	545,993	904,414	299,040	669,226
	4.6 Total Non-Interest Income	**4,713,188**	**9,227,420**	**2,235,613**	**4,402,567**
5	**TOTAL OPERATING INCOME**	**14,559,215**	**28,699,913**	**6,958,767**	**13,796,516**
6	**OTHER OPERATING EXPENSES**				
	6.1 Loan loss provision	378,942	572,592	428,006	1,624,970
	6.2 Staff costs	3,529,804	7,136,019	1,738,454	3,341,779
	6.3 Directors' emoluments	127,518	274,722	37,329	79,584
	6.4 Rental charges	154,806	308,217	48,971	110,722
	6.5 Depreciation charge on property and equipment	318,659	636,674	161,177	346,907
	6.6 Amortisation charges	291,179	651,889	169,955	361,371
	6.7 Other operating expenses	2,838,036	6,945,943	1,461,245	2,825,870
	6.8 Total Other Operating Expenses	**7,638,944**	**16,526,056**	**4,045,137**	**8,691,203**
7	**Profit/ (loss) before tax and exceptional items**	**6,920,271**	**12,173,857**	**2,913,630**	**5,105,313**
8	Exceptional items	-	-	-	-
9	**Profit/ (loss) after exceptional items**	**6,920,271**	**12,173,857**	**2,913,630**	**5,105,313**
10	Current tax	(2,367,833)	(4,254,462)	(586,474)	(1,895,447)
11	Deferred tax	153,464	317,378	(316,283)	23,198
12	**Profit/ (loss) after tax and exceptional items**	**4,705,902**	**8,236,773**	**2,010,873**	**3,233,064**
13	Minority Interest	**-**	**-**	**-**	**-**
14	**Profit/ (loss) after tax,exceptional items and minority interest**	**4,705,902**	**8,236,773**	**2,010,873**	**3,233,064**
15	**Other Comprehensive Income**				
	15.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
	15.2 Fair value changes in financial assets at FVOCI	657,380	(600,162)	153,140	921,131
	15.3 Revaluation surplus on Property,plant and equipment	-	-	-	-
	15.4 Share of other comprehensive income of associates	-	-	-	-
	15.5 Income tax relating to components of other comprehensive income	(197,214)	180,049	(45,942)	(230,282)
16	**Other Comprehensive Income for the period net of tax**	**460,166**	**(420,113)**	**107,198**	**690,849**
17	**Total comprehensive income for the period**	**5,166,068**	**7,816,660**	**2,118,071**	**3,923,913**
18	**EARNINGS PER SHARE- BASIC & DILUTED (KShs)**	**13.46**	**23.49**	**5.73**	**9.17**
19	**DIVIDEND PER SHARE -DECLARED (KShs)**	**5.00**	**12.50**	**-**	**-**

STANDARD CHARTERED BANK KENYA LIMITED
COMPANY PROFIT AND LOSS STATEMENT
FINANCIAL STATEMENTS AND OTHER DISCLOSURES

II	PROFIT AND LOSS ACCOUNT	30.06.2019 KShs. '000 Un-audited	31.12.2019 KShs. '000 Audited	31.03.2020 KShs. '000 Un-audited	30.06.2020 KShs. '000 Un-audited
1	**INTEREST INCOME**				
	1.1 Loans and advances	6,737,713	13,406,673	3,183,421	6,289,825
	1.2 Government securities	5,391,914	10,484,602	2,508,367	4,743,995
	1.3 Deposits and placements with banking institutions	472,676	1,078,961	336,081	685,217
	1.4 Other Interest Income	76,156	190,691	73,762	200,331
	1.5 Total Interest Income	**12,678,459**	**25,160,927**	**6,101,631**	**11,919,368**
2	**INTEREST EXPENSES**				
	2.1 Customer deposits	2,612,996	5,174,332	1,203,930	2,328,487
	2.2 Deposits and placements from banking institutions	7,654	61,015	28,938	39,279
	2.3 Other Interest Expenses	276,074	583,940	163,065	179,688
	2.4 Total Interest Expenses	**2,896,724**	**5,819,287**	**1,395,933**	**2,547,454**
3	**NET INTEREST INCOME/(LOSS)**	**9,781,735**	**19,341,640**	**4,705,698**	**9,371,914**
4	**NON-INTERESTINCOME**				
	4.1 Fees and commissions on loans and advances	160,858	256,718	73,474	152,518
	4.2 Other fees and commissions	1,866,920	3,882,408	806,437	1,528,319
	4.3 Foreign Exchange trading income/ (loss)	1,595,430	3,174,026	695,237	1,478,829
	4.4 Dividend Income	-	1,294,374	-	-
	4.5 Other income	546,086	904,414	329,821	700,007
	4.6 Total Non-Interest Income	**4,169,294**	**9,511,940**	**1,904,969**	**3,859,673**
5	**TOTAL OPERATING INCOME**	**13,951,029**	**28,853,580**	**6,610,667**	**13,231,587**
6	**OTHER OPERATING EXPENSES**				
	6.1 Loan loss provision	378,942	572,592	428,006	1,624,970
	6.2 Staff costs	3,472,356	7,021,758	1,713,044	3,295,412
	6.3 Directors' emoluments	127,518	274,722	37,329	79,584
	6.4 Rental charges	154,716	307,869	48,971	110,722
	6.5 Depreciation charge on property and equipment	318,659	636,674	161,177	346,907
	6.6 Amortisation charges	291,179	651,889	169,955	361,371
	6.7 Other operating expenses	2,820,463	6,696,850	1,428,986	2,763,294
	6.8 Total Other Operating Expenses	**7,563,833**	**16,162,354**	**3,987,468**	**8,582,260**
7	**Profit/ (loss) before tax and exceptional items**	**6,387,196**	**12,691,226**	**2,623,199**	**4,649,327**
8	Exceptional items	-	-	-	-
9	**Profit/ (loss) after exceptional items**	**6,387,196**	**12,691,226**	**2,623,199**	**4,649,327**
10	Current tax	(2,191,812)	(3,981,481)	(506,238)	(1,779,928)
11	Deferred tax	146,048	279,815	(308,738)	50,098
12	**Profit/ (loss) after tax and exceptional items**	**4,341,432**	**8,989,560**	**1,808,223**	**2,919,497**
13	Minority Interest	**-**	**-**	**-**	**-**
14	**Profit/ (loss) after tax,exceptional items and minority interest**	**4,341,432**	**8,989,560**	**1,808,223**	**2,919,497**
15	**Other Comprehensive Income**				
	15.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
	15.2 Fair value changes in financial assets at FVOCI	640,579	(584,011)	122,462	890,453
	15.3 Revaluation surplus on Property,plant and equipment	-	-	-	-
	15.4 Share of other comprehensive income of associates	-	-	-	-
	15.5 Income tax relating to components of other comprehensive income	(192,174)	175,203	(36,739)	(222,613)
16	**Other Comprehensive Income for the period net of tax**	**448,405**	**(408,808)**	**85,723**	**667,840**
17	**Total comprehensive income for the period**	**4,789,837**	**8,580,752**	**1,893,946**	**3,587,337**
18	**EARNINGS PER SHARE- BASIC & DILUTED (KShs)**	**12.40**	**25.68**	**5.14**	**8.26**
19	**DIVIDEND PER SHARE -DECLARED (KShs)**	**5.00**	**12.50**	**-**	**-**

STANDARD CHARTERED BANK KENYA LIMITED
FINANCIAL STATEMENTS AND OTHER DISCLOSURES

III. OTHER DISCLOSURES	30.06.2019 KShs. '000 Un-audited	31.12.2019 KShs. '000 Audited	31.03.2020 KShs. '000 Un-audited	30.06.2020 KShs. '000 Un-audited
1) NON-PERFORMING LOANS AND ADVANCES				
a) Gross non-performing loans and advances	**19,788,405**	**20,057,683**	**20,022,480**	**20,902,985**
Less				
b) Interest in suspense	**7,146,100**	**7,788,053**	**7,830,322**	**8,287,008**
c) Net Non-Performing Loans and Advances (a-b)	**12,642,305**	**12,269,630**	**12,192,158**	**12,615,977**
Less				
d) Loan loss Provisions	7,864,209	8,004,255	7,797,795	8,064,247
e) Net Non-Performing Loans (c-d)	**4,778,096**	**4,265,375**	**4,394,363**	**4,551,730**
f) Realizable Value of Securities	3,387,741	3,218,283	3,220,026	3,319,354
g) Net NPLs Exposure (e-f)	**1,390,355**	**1,047,092**	**1,174,337**	**1,232,376**
2) INSIDER LOANS AND ADVANCES				
a) Directors, shareholders and associates	51,447	47,149	42,706	91,250
b) Employees	6,518,468	7,066,418	6,581,931	6,503,774
c) Total Insider Loans, Advances and Other Facilities	**6,569,915**	**7,113,567**	**6,624,637**	**6,595,024**
3) OFF-BALANCE SHEET ITEMS				
a) Letters of credit,guarantees, acceptances	51,876,610	52,218,765	52,647,111	58,767,950
b) Forwards, swaps, and options	77,652,518	78,653,950	130,490,897	57,432,884
c) Other contingent Liabilities	-	-	-	-
d) Total Contingent Liabilities	**129,529,128**	**130,872,715**	**183,138,008**	**116,200,834**
4) CAPITAL STRENGTH				
a) Core Capital	36,137,129	35,701,874	36,801,741	40,128,004
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/ (Deficiency)	35,137,129	34,701,874	35,801,741	39,128,004
d) Supplementary Capital	6,882,732	7,336,051	7,446,116	6,832,330
e) Total capital (a+d)	**43,019,861**	**43,037,925**	**44,247,857**	**46,960,334**
f) Total risk weighted assets	231,854,209	242,802,511	245,559,880	254,848,969
g) Core capital/total deposit liabilities	15.81%	15.63%	15.11%	15.64%
h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%
i) Excess/ (Deficiency) (g-h)	7.81%	7.63%	7.11%	7.64%
j)Core capital/total risk weighted assets	15.59%	14.70%	14.99%	15.75%
k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%
l) Excess/ (Deficiency) (j-k)	5.09%	4.20%	4.49%	5.25%
m)Total capital/total risk weighted assets	18.55%	17.73%	18.02%	18.43%
n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%
o) Excess/ (Deficiency) (m-n)	4.05%	3.23%	3.52%	3.93%
(p) Adjusted Core Capital/Total Deposit Liabilities*	15.88%	15.68%	15.15%	15.69%
(q) Adjusted Core Capital/Total Risk Weighted Assets*	15.65%	14.75%	15.03%	15.79%
(r) Adjusted Total Capital/Total Risk Weighted Assets*	18.62%	17.77%	18.06%	18.47%
5) LIQUIDITY				
a) Liquidity Ratio	67.23%	62.57%	67.58%	66.77%
b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%
c) Excess/ (Deficiency) (a-b)	47.23%	42.57%	47.58%	46.77%

* The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the Central Bank of Kenya guidance note issued in April 2018 on implementation of IFRS 9.

STANDARD CHARTERED BANK KENYA LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2020

	Share capital KShs '000	Share premium KShs '000	Capital contribution reserve KShs '000	Revaluation reserve KShs '000	Fair value reserve KShs '000	Statutory credit risk reserve KShs '000	Retained earnings KShs '000	Proposed dividends KShs '000	Total KShs '000
At 31 December 2019	1,997,553	7,792,427	1,930,771	732,195	902,595	1,477,402	27,690,235	5,237,349	47,760,527
Adjustment for tax rate change on deferred tax opening balances	-	-	-	-	64,470	-	-	-	64,470
Restated balance at 1 January 2020	**1,997,553**	**7,792,427**	**1,930,771**	**732,195**	**967,065**	**1,477,402**	**27,690,235**	**5,237,349**	**47,824,997**
Net profit for the period	-	-	-	-	-	-	3,233,064	-	3,233,064
Other comprehensive income									
Change in fair value of FVOCI investments	-	-	-	-	966,967	-	-	-	966,967
Deferred tax on change in fair value of FVOCI investments	-	-	-	-	(241,742)	-	-	-	(241,742)
Excess depreciation transfer	-	-	-	(6,626)	-	-	6,626	-	-
Deferred tax on excess depreciation transfer	-	-	-	1,657	-	-	(1,657)	-	-
Transfer from statutory credit risk reserve	-	-	-	-	-	(175,179)	175,179	-	-
Accumulated impairment on FVOCI investments	-	-	-	-	(45,835)	-	-	-	(45,835)
Deferred tax on accumulated impairment on FVOCI investments	-	-	-	-	11,459	-	-	-	11,459
Total other comprehensive income	**-**	**-**	**-**	**(4,969)**	**690,849**	**(175,179)**	**180,148**	**-**	**690,849**
Total comprehensive income for the period	**-**	**-**	**-**	**(4,969)**	**690,849**	**(175,179)**	**3,413,212**	**-**	**3,923,913**
Transactions with owners, recorded directly in equity									
Share based payments:									
- 2019 paid	-	-	(107,098)	-	-	-	-	-	(107,098)
- 2020 accrual	-	-	78,799	-	-	-	-	-	78,799
Proposed dividends:									
- Ordinary shares	-	-	-	-	-	-	2,576,329	(2,576,329)	-
Total contributions by and distributions to owners	**-**	**-**	**(28,299)**	**-**	**-**	**-**	**2,576,329**	**(2,576,329)**	**(28,299)**
At 30 June 2020	**1,997,553**	**7,792,427**	**1,902,472**	**727,226**	**1,657,914**	**1,302,223**	**33,679,776**	**2,661,020**	**51,720,611**

STANDARD CHARTERED BANK KENYA LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2020

	Share capital KShs '000	Share premium KShs '000	Capital contribution reserve KShs '000	Revaluation reserve KShs '000	Fair value reserve KShs '000	Statutory credit risk reserve KShs '000	Retained earnings KShs '000	Proposed dividends KShs '000	Total KShs '000
At 31 December 2019	1,997,553	7,792,427	1,930,771	732,195	924,070	1,477,402	27,129,743	5,237,349	47,221,510
Adjustment for tax rate change on deferred tax opening balances	-	-	-	-	66,005	-	-	-	66,005
Restated balance at 1 January 2020	**1,997,553**	**7,792,427**	**1,930,771**	**732,195**	**990,075**	**1,477,402**	**27,129,743**	**5,237,349**	**47,287,515**
Net profit for the period	-	-	-	-	-	-	2,919,497	-	2,919,497
Other comprehensive income									
Change in fair value of FVOCI investments	-	-	-	-	930,505	-	-	-	930,505
Deferred tax on change in fair value of FVOCI investments	-	-	-	-	(232,626)	-	-	-	(232,626)
Excess depreciation transfer	-	-	-	(6,626)	-	-	6,626	-	-
Deferred tax on excess depreciation transfer	-	-	-	1,657	-	-	(1,657)	-	-
Transfer from statutory credit risk reserve	-	-	-	-	-	(175,179)	175,179	-	-
Accumulated impairment on FVOCI investments	-	-	-	-	(40,053)	-	-	-	(40,053)
Deferred tax on accumulated impairment on FVOCI investments	-	-	-	-	10,013	-	-	-	10,013
Total other comprehensive income	**-**	**-**	**-**	**(4,969)**	**667,839**	**(175,179)**	**180,148**	**-**	**667,839**
Total comprehensive income for the period	**-**	**-**	**-**	**(4,969)**	**667,839**	**(175,179)**	**3,099,645**	**-**	**3,587,336**
Transactions with owners, recorded directly in equity									
Share based payments:									
- 2019 paid	-	-	(107,098)	-	-	-	-	-	(107,098)
- 2020 accrual	-	-	78,799	-	-	-	-	-	78,799
Proposed dividends:									
- Ordinary shares	-	-	-	-	-	-	2,576,329	(2,576,329)	-
Total contributions by and distributions to owners	**-**	**-**	**(28,299)**	**-**	**-**	**-**	**2,576,329**	**(2,576,329)**	**(28,299)**
At 30 June 2020	**1,997,553**	**7,792,427**	**1,902,472**	**727,226**	**1,657,914**	**1,302,223**	**32,805,717**	**2,661,020**	**50,846,552**

STANDARD CHARTERED BANK KENYA LIMITED
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 JUNE 2020

	June 2020 Un-audited KShs '000	2019 Audited KShs '000
Profit before taxation	5,105,313	12,173,857
Depreciation	347,711	639,519
Amortisation of intangible assets	361,371	648,962
Loss on sale of property and equipment	817	34,190
Retirement benefit obligations	43,538	57,077
Lease interest	38,930	77,051
Expected credit loss on fair value through other comprehensive income instruments	(45,835)	34,853
(Increase)/decrease in operating assets		
Balances with Central Bank of Kenya		
– Cash Reserve Ratio	1,453,119	222,083
Government and other securities held for trading	(1,611,157)	1,998,107
Derivative financial instruments	39,337	(415,961)
Loans and advances to banks	-	1,273,750
Loans and advances to customers	(5,626,798)	(10,038,791)
Investment securities	(2,538,712)	(5,024,481)
Amounts due from group companies	(13,474,750)	(5,545,500)
Other assets	480,013	(292,053)
Increase/(decrease) in operating liabilities		
Deposits from customers	28,062,773	4,149,095
Derivative financial instruments	162,615	377,360
Amounts due to group companies	1,377,500	(33,000)
Defined benefit obligations	(178,500)	(30,000)
Other liabilities	(1,188,616)	(113,778)
Cash generated from operating activities	**12,808,669**	**192,340**
Income taxes paid	(1,195,210)	(5,016,992)
Net cash from/(used in) operating activities	**11,613,459**	**(4,824,652)**
Cash flows from investing activities		
Purchase of property and equipment	(186,792)	(400,894)
Purchase of intangible assets	(838,602)	(1,550,954)
Proceeds from sale of property and equipment	172	1,531
Net cash used in investing activities	**(1,025,222)**	**(1,950,317)**
Cash flows from financing activities		
Lease liability payments	(115,708)	(164,857)
Share based payments:		
– 2019/2018 settled	(107,098)	(107,919)
– 2020/2019 allocated during the year	78,799	107,098
Dividends paid on ordinary shares:		
– Final 2018	-	(4,809,148)
– Interim 2019	-	(1,717,553)
Dividends paid on preference shares:		
– Final 2018	-	(84,690)
– Interim 2019	-	(83,310)
Net cash used in financing activities	**(144,007)**	**(6,860,379)**
Increase/(decrease) in cash and cash equivalents	10,444,230	(13,635,348)
Cash and cash equivalents at 1 January	24,567,244	38,202,592
Cash and cash equivalents	**35,011,474**	**24,567,244**
Analysis of the balance of cash and cash equivalents		
Cash on hand	3,556,797	3,288,211
Unrestricted cash balances with Central Bank of Kenya	14,490,688	5,454,681
Loans and advances to local banks	4,063,784	7,580,585
Loans and advances to foreign banks	413,958	153,871
Deposits from local banks	(1,841,195)	(7,817,724)
Deposits from foreign banks	(452,415)	(209,980)
Amounts due from group companies	18,468,938	21,158,725
Amounts due to group companies	(3,689,081)	(5,041,125)
	35,011,474	**24,567,244**

STANDARD CHARTERED BANK KENYA LIMITED
COMPANY STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 JUNE 2020

	June 2020 Un-audited KShs '000	2019 Audited KShs '000
Profit before taxation	4,649,327	12,691,226
Depreciation	347,711	639,519
Amortisation of intangible assets	361,371	648,962
Loss on sale of property and equipment	817	34,190
Retirement benefit obligations	43,538	57,077
Lease interest	38,930	77,051
Expected credit loss on fair value through other comprehensive income instruments	(40,053)	32,992
(Increase)/decrease in operating assets		
Balances with Central Bank of Kenya		
– Cash Reserve Ratio	1,453,119	222,083
Government and other securities held for trading	(1,611,157)	1,998,107
Derivative financial instruments	39,337	(415,961)
Loans and advances to banks	-	1,273,750
Loans and advances to customers	(5,626,798)	(10,038,791)
Investment securities	(3,701,604)	(4,883,689)
Amounts due from group companies	(13,474,750)	(5,545,500)
Other assets	484,366	(296,776)
Increase/(decrease) in operating liabilities		
Deposits from banks		
Deposits from customers	28,062,773	4,149,095
Derivative financial instruments	162,615	377,360
Amounts due to subsidiaries	194,301	41,091
	1,377,500	(33,000)
Defined benefit obligations	(178,500)	(30,000)
Other liabilities	(1,189,107)	(118,792)
Cash generated from operating activities	**11,393,736**	**879,994**
Income taxes paid	(1,049,809)	(4,656,460)
Net cash from/(used in) operating activities	**10,343,927**	**(3,776,466)**
Cash flows from investing activities		
Purchase of property and equipment	(186,792)	(400,894)
Purchase of intangible assets	(838,602)	(1,550,954)
Proceeds from sale of property and equipment	172	1,531
Net cash used in investing activities	**(1,025,222)**	**(1,950,317)**
Cash flows from financing activities		
Lease liability payments	(115,708)	(164,857)
Share based payments:		
– 2019/2018 settled	(107,098)	(107,919)
– 2020/2019 allocated during the year	78,799	107,098
Dividends paid on ordinary shares:		
– Final 2018	-	(4,809,148)
– Interim 2019	-	(1,717,553)
Dividends paid on preference shares:		
– Final 2018	-	(84,690)
– Interim 2019	-	(83,310)
Net cash used in financing activities	**(144,007)**	**(6,860,379)**
Increase/(decrease) in cash and cash equivalents	9,174,698	(12,587,162)
Cash and cash equivalents at 1 January	25,886,353	38,473,515
Cash and cash equivalents	**35,061,051**	**25,886,353**
Analysis of the balance of cash and cash equivalents		
Cash on hand	3,556,797	3,288,211
Unrestricted cash balances with Central Bank of Kenya	14,490,688	5,454,681
Loans and advances to local banks	4,063,784	7,580,585
Loans and advances to foreign banks	413,958	153,871
Deposits from local banks	(1,841,195)	(7,817,724)
Deposits from foreign banks	(452,415)	(209,980)
Amounts due from group companies	18,518,515	22,477,834
Amounts due to group companies	(3,689,081)	(5,041,125)
	35,061,051	**25,886,353**